account or personal account itself is debited or credited for rectification. After all the errors are rectified, the net effect on profit is calculated by preparing profit and loss adjustment account and the balance is transferred to capital account.

9.9 Errors in computerised accounting

In the recent years, because of the technological developments, many firms have computerised their accounting. It is done to save time and to have accuracy. Though certain errors of commission such as casting errors, errors in carrying forward, etc. and errors of partial omissions can be avoided, the following errors become unavoidable:

- Errors of complete omission
- Errors of principle
- Errors of making wrong entry in the books of original entry
- Errors of entering wrong amounts in the books of original entry
- Errors of entering wrong accounts in the books of original entry
- Errors of duplication



The duality concept is applied in locating and rectifying errors.



Student activity

Think: Prepare 10 transactions with errors and ask your friend to solve.

Points to remember

- Error means recording or classifying or summarising the accounting transactions wrongly or omissions to record them by a clerk or accountant unintentionally.
- In the accounting process, errors may occur at the stage of journalising, posting, balancing or preparing trial balance.
- The failure of an accountant to record a transaction or an item in the books of accounts is known as error of omission. It may be complete omission or partial omission.
- Error of principle means the mistake committed in the application of fundamental accounting principles in recording a transaction in the books of accounts.
- The errors that make up for each other or neutralise each other are known as compensating errors.
- Certain errors are disclosed by the trial balance and certain errors are not disclosed by the trial balance.
- When the trial balance does not tally, the amount of difference is placed to a temporary account known as 'suspense account'.
- Errors can be rectified before preparing the trial balance or while preparing the trial balance or after preparing the trial balance but before preparing the final accounts or after preparing the final accounts.

Accountancy Unit-09.indd 196 12/12/2021 6:18:39 PM